

IB History Standard Level Internal Assessment

To what extent did the abandonment of the New Economic Policy (NEP) in 1928–29 result from its economic limitations versus political and ideological factors?

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Section A:

This investigation explores the question: To what extent did the abandonment of the New Economic Policy (NEP) in 1928–29 result from its economic limitations versus political and ideological factors? The NEP was initially introduced in 1921 as a pragmatic retreat from War Communism to stabilize the post-revolutionary economy. However, by the late 1920s, the Soviet leadership under Stalin replaced it with collectivization. This essay seeks to evaluate whether this transition was driven by economic necessities or by ideological and political motifs. To explore this, I chose two contrasting sources that helped shape my understanding of the NEP era—Simon Johnson and Peter Temin’s article “The Macroeconomics of NEP” and Sheila Fitzpatrick’s *The Russian Revolution*.

Simon Johnson and Peter Temin’s article “The Macroeconomics of NEP”, published in *The Economic History Review* in 1993, is a detailed economic analysis of the NEP period. It argues that NEP didn’t collapse because it was inherently flawed, but because of poor decision-making—particularly around monetary expansion and price controls. I came across this source while looking into economic explanations for the NEP’s collapse, and it made me reconsider the idea that its failure was inevitable. It played a major role in developing my argument that a better economic policy could have made the NEP sustainable, and it pushed me to reconsider the extent of economic influence in NEP’s abandonment.

One strength of the source is its origin: both authors are economists, so the article brings a technical, data-driven perspective that stands out from more ideologically-focused sources. Also,

the content includes concrete examples of how specific policies like price controls distorted rural and urban trade, which helped me explain the Scissors Crisis in detail. But it also has limits. The article relies heavily on Soviet-era statistics, which may be biased. Moreover, as source aims to evaluate the economic results and policies, it's limited in addressing the political influence, which is also crucial to fully understanding why the Soviet Leadership eventually abandoned it.

To balance that, I chose Sheila Fitzpatrick's *The Russian Revolution (2017)*, which offers a more political and ideological view. Fitzpatrick is a History Professor at the University of Sydney and explores in her book how many in the Communist Party saw the NEP as a betrayal of the revolution and compares it to the Thermidorian reaction in France. I found this source early on and it helped me realize that for many Bolsheviks, the NEP wasn't just an economic policy, but something that symbolized compromise and even weakness. That really shaped my thinking in the second half of my essay.

What makes this source valuable is Fitzpatrick's origin—she's a leading historian of Soviet history with access to lots of archival material—and her purpose, which is focused on explaining internal Party debates. However, the limitation is that the content feels sometimes more general, and her emphasis on ideology means she often neglects the economic side. Moreover, since the focus of the book is on the Russian revolution as a whole, while having the value of allowing me to gain insight into the NEP's contradiction with the Revolution, she often ignores other factors. Even so, her analysis helped me understand how Stalin and others framed the NEP not just as a failing policy, but as something fundamentally incompatible with their vision for socialism.

Together, these two sources helped me build a more balanced argument. Johnson and Temin helped me question the inevitability of NEP's end, while Fitzpatrick showed how political and ideological factors made that end seem necessary to Soviet leaders at the time.

Section B:

After years of war and revolution, the New Economic Policy (NEP), introduced in 1921, was designed as a pragmatic solution to revive the Russian economy. However, the NEP quickly came under pressure from a combination of economic failures, poor policy decisions, and ideological opposition. These mounting tensions ultimately led to its replacement by collectivization during Stalin's "Great Break" of 1928–29. This essay argues that while the NEP initially offered a workable compromise between socialism and market mechanisms, its inherent contradictions, combined with worsening economic conditions and political pressures, made its continuation increasingly unviable. Yet, the extent to which its abandonment was truly inevitable remains debated among historians.

During the years of the NEP, the Russian economy remained fragile. This is also the main reason why some historians view the replacement of the NEP as necessary for the USSR's economy. During the early years, after the devastation of War Communism, combined with the famine of 1921–22, left the economy in a state of collapse. In 1923, the Scissors Crisis—a sharp divergence between agricultural and industrial prices—further exposed the system's weaknesses. As Johnson & Temin denoted, “the price of manufactured goods relative to agricultural goods rose sharply. The decline in agricultural terms of trade threatened to reduce the marketed output of food, at the same time as strikes in the towns underscored the importance of food for political stability” (Johnson & Temin 753). The government responded by introducing price controls and attempting to stimulate industrial production while suppressing prices. However, this only deepened the crisis. As Johnson and Temin note, “The presence of price controls meant this

pressure produced shortages where controls were effective and higher black-market prices where they were not” (Johnson 751). Far from stabilizing the economy, these measures undermined the NEP’s core market principles and contributed to widespread discontent, particularly among peasants and workers.

Agricultural stagnation posed an even greater challenge. Despite economic incentives, grain production failed to return to pre-war levels. By 1926–27, state grain procurements were in sharp decline. Historian Moshe Lewin highlights how increasing peasant populations and the subdivision of landholdings led to a sharp drop in productivity. Kulaks—wealthier peasants—had diminished in influence and by 1928, became “small farmer[s] who was economically far weaker than his pre-war counterpart” (Lewin 175), who, like other peasants, consumed the majority of their grain production themselves (Lewin 175-76). Lewin emphasizes that “the peasant who had formerly produced 50% of [total grain production in Russia] and consumed 60% of that, was now producing 85% [of it] but was consuming 80% of what he produced” (Lewin 175-76). “Before the war, 26% of agricultural production had gone to the market. By 1927–28, the proportion had been reduced by half,” Lewin observes, “from a total production which was itself much smaller” (Lewin 175–76). This meant that the state could no longer reliably extract surplus grain for urban consumption and industrial support, undermining the regime’s broader economic goals. Stalin also highlighted the necessity of replacing NEP and his frustration with it in his 1928 letter to Sergei Syrtsov, where he condemned the market’s failure to deliver grain: “The peasant will not hand over his tax on the basis of a Pravda editorial—compulsory schedules are crucial for him” (Service 253). This shortfall in grain supplies at the end of 1927 directly contributed to Stalin’s justification for radical change. With

industrial growth increasingly constrained by the lack of food and resources, the NEP no longer seemed a viable path forward.

However, not all historians view the NEP's collapse as inevitable. Johnson and Temin argue that much of the economic turmoil stemmed from poor policy decisions rather than structural flaws in the NEP itself. They emphasize that the government misunderstood key macroeconomic signals and wrongly blamed private traders instead of controlling monetary expansion. "Without price controls," they argue, "monetary stabilization would have been a great success" (Johnson 756). Inflation remained below 20%, but in the presence of partial price controls, even modest inflation distorted relative prices and worsened the rural-urban divide (Johnson 751). The Scissors Crisis, in their view, was not caused by the NEP, but by state interference that violated its principles. Similarly, Mark Harrison suggests that the leadership's investment decisions exacerbated economic imbalances. By 1926/27 gross investment in Soviet large-scale industry had considerably exceeded the standard set by pre-war growth; the industrial capital stock was growing at rates exceeding 10 percent per annum, although expansion was patchy across the major industrial sectors, badly coordinated and reflected serious problems of absorption of new technology (Harrison 4-5). Harrison contends that instead of shifting toward collectivization, the government could have moderated its ambitions and accepted a slower pace of industrialization: "Policy adjustments could have reconciled industrial growth with market mechanisms" (Harrison 3). Kotkin also notes that Bukharin's "grow into socialism" model—advocating gradual industrialization funded by agricultural taxes—offered a more sustainable alternative (Kotkin 727).

Beyond economics, there are also historians holding the view that the NEP had to be due to its deep ideological and political opposition. For example, Fitzpatrick argues that the Communist society at that time saw the NEP as a “betrayal” of the revolution and a conspiracy by the socialists. As she explains, “To Communists, NEP had the smell of Thermidor, the period of degeneration of the great French Revolution” (Fitzpatrick 120). During the political conflicts of 1926–27, internal divisions deepened, with opposing factions accusing each other of conspiracy and ideological compromise (Fitzpatrick 120). In such a context, maintaining the NEP became increasingly difficult, as it appeared to many as a symbol of regression and ideological weakness. Stalin further linked the NEP to the rise of nationalist sentiment, which he viewed as a threat to the unity and stability of the Soviet state. According to Himmer, Stalin’s 1927 speech on nationality affairs presented the NEP as the cause of both Great Russian chauvinism and the resurgence of local nationalisms among ethnic minorities such as Georgians, Azerbaijanis, and Uzbeks (Himmer 517). Stalin emphasized the class dimension of this issue, warning that the divide between the largely Great Russian proletariat and the peasant-based national minorities could undermine the worker-peasant alliance essential to the dictatorship of the proletariat. He concluded that this threat must be “cut off at the root,” asserting that “NEP conditions foster it” (Himmer 517). These remarks illustrate how Stalin framed the NEP as not only an economic liability but a political danger. Even reformist figures such as Grigory Sokolnikov, the Soviet People's Commissar for Finance, recognized the ideological tensions inherent in the NEP. In a speech cited by Kotkin, Sokolnikov defended market relations as distinct from capitalism and praised the emergence of “cultured farmers,” differentiating them from traditional kulaks (Kotkin 579). He believed such distinctions could allow for a synthesis between socialism and market mechanisms. However, he also acknowledged a fundamental contradiction at the heart of the

policy: “We are encouraging the middle peasant up to a certain limit and then we begin strangling him” (Kotkin 579). His remarks suggest that while the NEP may have held economic potential, political constraints ultimately hindered its full implementation and longevity.

Overall, the NEP era was defined by a precarious balance between state control and market forces—one that ultimately collapsed under the weight of economic instability, policy mismanagement, and political discord. While its demise is often portrayed as a logical and necessary step toward industrialization, many historians argue that alternative paths remained open. Better monetary policies, restrained investments, and a gradualist approach to socialism could have sustained economic growth without abandoning the NEP entirely. Yet the ideological climate of the 1920s, combined with Stalin’s rising dominance and the regime’s fear of losing control, closed off these possibilities. The shift to collectivization, though radical, became a political necessity—marking not just the end of the NEP, but the consolidation of a new authoritarian economic order.

Section C:

This investigation taught me that history is not simply about discovering "what happened," but about how historians interpret incomplete, or conflicting evidence. I chose NEP in December 2024 due to the intense debate around whether the NEP's termination was mostly caused by economic failure, which was also my belief initially. However, after reading Robert Himmer's article about the Transition from War Communism, I realized that political and ideological factors were just as important. This forced me to broaden my method: instead of limiting my view to economic analyses, I decided also to engage with political and ideological sources. This experience showed me how historians often have to work across different disciplines, combining economic data, political speeches, and social developments into one narrative.

I also encountered the struggle historians might face when relying on primary sources from the Soviet Union. From the economist D. McCord Wright, I learned that the reliability of economic data from that time is often questionable, because many Soviet-era statistics were manipulated for political purposes. I also found that much information about internal party debates only became widely accessible after the Soviet archives opened in 1991. Because of this, historians have to support their claims with a lot of evidence, while the "truth" might still not be entirely clear. This made me realize that, unlike scientists who can often run controlled experiments, historians must accept uncertainty and still try to construct convincing interpretations.

During the project, I also changed how I structured my argument after speaking with my teacher. Originally, I combined economic and political factors, making it hard to weigh their individual

importance. Revising my structure to discuss economic, social, and political factors separately helped me understand how historians must organize their analysis carefully to make complex causes clear to their audience. It also taught me that interpretation is not just about collecting information, but about deciding how to frame it effectively.

Overall, this investigation made me appreciate how much judgment and critical thinking go into writing history. There is no way to eliminate bias completely, but historians can recognize multiple points of view and address the limitations of their sources and methods.

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